



complaint

The premium required for Mr L's Royal & Sun Alliance Insurance Plc (RSA) Buildings and Contents insurance increased substantially.

background

When the policy was "renewable" in 2009 RSA increased the premium substantially because it covered a second home (although RSA confirmed it had always been aware the property was a second home). It explained that it charges more for properties that are subject to unoccupancy. Mr L said the property is used at intervals of around three weeks.

RSA agreed to refund excess premiums paid from 2005 as a result of an error in the postcode attributed to the property in its records.

Our adjudicator considered RSA should remove the "*unoccupancy clause*", recalculate the premiums charged from 2009, pay interest on overcharged premiums and pay £100 compensation for its handling of Mr L's challenges to its position.

RSA disagreed. It suggested Mr L should have noticed the postcode error sooner than he did. However, it subsequently agreed to add interest to the refund for this error.

Another adjudicator thought RSA had been entitled to set the premiums required for the insurance, just as Mr L was entitled to accept or reject the "renewal" offers. Therefore, he did not think RSA could fairly be required to make a refund in this respect. He thought the failure to apply the premium increase for second homes between 2005 and 2009 had benefited Mr L sufficiently to stand in place of an award of compensation for the handling of the matter.

Mr L disagreed and said he would have insured elsewhere if the increase had been applied (and explained) in 2005. Because the policy defined unoccupied to mean not lived in for more than 60 days in a row, he considered RSA was not entitled to base its "renewal" decisions as to the premium required on any other unoccupancy criteria. He said he would have insured elsewhere if RSA had explained accurately the reason for the increase in premiums.

Subsequently, the adjudicator thought £200 should be paid as compensation and RSA agreed. Mr L thought that was inadequate and sought payment of 66% of the premium charged from 2009 to date plus (unspecified) compensation for his time and costs in pursuing the matter.

my findings

Mr L has told us the property was occupied for a total of 58 days in 2010, 70 days in 2011 and 93 days in 2012. The intervals between stays seem to have varied from a few days to a maximum of five weeks.

RSA told Mr L:

- "*A [stated percentage] loading is applied to all unoccupied properties*";

- *"the [stated percentage] loading to your policy should have taken place previously, but when we discovered our error, we agreed to make the necessary amendments from this renewal onwards";*
- *"the loading varies by the length of the unoccupancy period ... A property is considered unoccupied when it hasn't been lived in for more than 60 consecutive days".*

RSA told us:

- *"the terms and size of the loading varies by the number of days the property will be unoccupied during the 12 month contract".* I have seen evidence that supports the number of days a property is unoccupied each year as a factor for the determination of the premium that will be required to insure it;
- *"If the property is unoccupied for more than 60 days a year ... The loading is a lump one ie [stated percentage] policy load if the property is unoccupied for more than 60 days ... so the loading isn't depending on how many days they're over the 60".*

I consider RSA's explanations of its position were poor. It used industry jargon/technical terms even after Mr L questioned them. Also, it was inconsistent/unclear. For example, it said an unoccupancy endorsement was applied from 2005 imposing requirements whenever the property was left for more than 48 hours, but it also said it had applied *"unoccupied terms"* from 2009. Further, there were significant delays in replying to Mr L.

Additionally, it told Mr L a stated percentage increase is applied to all unoccupied properties, but also that the increase varies by the length of the unoccupancy period. It told him a property is considered unoccupied when it has not been lived in for more than 60 consecutive days but it told us 1) the increase varies by the number of days the property will be unoccupied during a year and 2) the increase is a stated percentage.

However, I am satisfied it is RSA's practice to increase the premium if the insured property will be unoccupied for more than 60 days in total during the year. It is apparent that Mr L's property is unoccupied for more than that. Therefore, I consider RSA was entitled to increase the premium in 2009. It should have explained the increase properly but I am not satisfied Mr L suffered a financial loss because it did not do so. By the time RSA wrote to him in November 2009 it had rejected his objection to the increase three times. Despite that, it appears Mr L left the policy in place and continued "renewing" it. He may have done that because he expected RSA to relent eventually, but by then I think it should have been apparent that was unlikely.

Mr L seems to believe he would have been able to insure elsewhere on more favourable terms but he has submitted no evidence to support this.

In my view, the determination of the premium required in order to provide cover is a separate issue to the policy terms. I believe RSA is entitled to view unoccupancy differently or more broadly when considering how much to charge as compared to how it treats it in the policy. Normally, the various factors and considerations that have led the insurer to quote the premium it puts forward, and the weight given to each, will not be discussed with the policyholder in any detail, and, not least for reasons of commercial confidentiality, I do not consider that unreasonable.

In all the circumstances, I agree RSA should refund excess premiums paid from 2005 as a result of the error in the postcode plus interest (if it has not already done so), and it should pay compensation of £200.

my final decision

Royal & Sun Alliance Insurance Plc should refund excess premiums paid from 2005 as a result of the error in the postcode plus interest (if it has not already done so), and it should pay compensation of £200.

Steve Lilley
ombudsman